MODULE 01 · CASE STUDY 1 · PRE-READ FOR CLASS 1

The Zepto Story

How Two 19-Year-Olds Reimagined How India Buys Groceries

READ THIS BEFORE CLASS

This case is your preparation for the next session. Read it once, slowly, with a pen. You are not expected to arrive with answers — you are expected to arrive with the story in your head and a few opinions you are willing to defend out loud.

There is nothing to memorise here. No definitions, no frameworks, no terms that will be tested. Just a company, the decisions its founders made, and the numbers those decisions produced. We will build the ideas together in class, out of this story.

15–20	7	5
Minutes to read	Sections	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

THE CASE

The Zepto Story

From a failed first startup to ₹1.4 billion in valuation, in three years

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

As you read, keep asking yourself one deliberately awkward question: **what is the customer actually paying for?** Zepto does not grow vegetables, mill atta or manufacture a single item it sells. Something is being bought here, and it is not obvious.

Second, notice every decision Aadit and Kaivalya made — the size of the store, the number of items, where it sits on the map, what they refused to do — and ask what each decision cost them and what it bought them. Almost nothing in this story is an accident.

1 India's Grocery Market: The World Before Zepto

India's grocery market is one of the largest in the world — valued at approximately ₹40 lakh crore (roughly $480 billion) annually. Every family buys groceries. Every restaurant buys ingredients. Every office stocks its pantry. Groceries are, without exaggeration, the most universal consumer need in the country. Yet in 2019, over 90% of this enormous market was 'unorganised' — meaning it flowed through millions of small neighbourhood shops called kirana stores, weekly bazaars, push-cart vendors, and local wholesale markets.

A kirana store is a remarkable institution. Typically run by a single family, occupying 200–400 square feet, stocking 500 to 2,000 items, the kirana store has served Indian neighbourhoods for generations. Its strengths are proximity (there is almost always one within a 5-minute walk in any dense urban area), personal relationship (the owner knows your family, often extends credit), and flexibility (it opens early and closes late). Its weaknesses are equally clear: no standardised inventory management, no way to check stock availability in advance, limited selection compared to a supermarket, and no delivery capability to speak of.

Through the 2010s, the organised retail sector grew significantly. Chains like D-Mart, BigBazaar, Reliance Fresh, and Spencer's built large-format stores across Indian cities. These offered a different value: air-conditioning, standardised pricing, reliable availability of branded products, and the ability to do a full weekly shop under one roof. A trip to D-Mart meant 45–60 minutes in the store, but you could be confident that everything on your list would be in stock. By 2019, D-Mart's annual revenue exceeded ₹20,000 crore and it was one of the most profitable retailers in India.

Simultaneously, the online grocery sector had taken root. BigBasket, founded in 2011, pioneered grocery e-commerce in India: order through an app, get delivery within a few hours or the next day. It was a genuinely better experience for weekly planned shopping — you didn't have to carry heavy bags, you could browse 20,000+ SKUs from your phone, and delivery slots were reliable. By 2019, BigBasket was valued at over ₹5,000 crore, had 10 million+ active customers, and was profitable in several cities. Grofers (later rebranded Blinkit) offered a similar model with faster 2-hour delivery windows.

> **WORTH PAUSING ON**
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> Kirana stores, D-Mart, BigBasket and Grofers are four completely different businesses. They compete on different things — price, range, convenience, delivery slot. But all four of them were built on top of exactly the same assumption about the customer. Before you read on, see if you can name it.

Here is what all of these models had in common: they were all built around an assumption that grocery shopping is a *planned* activity. You know what you need. You make a list. You place an order or make a trip. You receive your groceries when it is convenient for the store or delivery partner. The entire supply chain — from procurement to warehousing to last-mile — was optimised for the planned weekly shop.

Nobody had seriously asked a different question: what happens when the grocery need is *not* planned? What happens at 9:30pm when you realise you have no milk for your child's morning? What happens at 7pm when a dinner guest announces they're vegetarian and you've already bought the chicken? What happens at 11pm when you want Maggi and your cupboards are empty? These situations happen to almost every urban household multiple times a month. And in 2020, they were about to become impossible to ignore.

2 March 2020: The Workaround Disappears

In March 2020, India went into one of the world's strictest COVID-19 lockdowns. Physical stores were closed or severely restricted. Citizen movement was limited. The army and police enforced curfews. For millions of urban Indian families, the weekly grocery run — which had always felt slightly inefficient but manageable — became impossible overnight.

But people still needed things. Not tomorrow. Today. Often, right now.

'We ran out of milk' stopped being a minor inconvenience that you solved by sending someone to the corner shop. It became a crisis: the corner shop was shuttered, BigBasket's next delivery slot was three days away (demand had overwhelmed their capacity), and you needed milk for your 2-year-old's breakfast in two hours. Parents were calling friends in neighbouring buildings to borrow eggs. WhatsApp groups were flooded with requests for basic cooking staples. The infrastructure that 1.4 billion Indians relied on for their most fundamental daily need had simply not been built for this moment.

The lockdown created a forced experiment in a new mode of consumer behaviour. People discovered — urgently and painfully — that they had dozens of small, time-sensitive grocery needs that no existing solution could serve. Running out of a cooking ingredient mid-recipe. Needing paracetamol at 10pm. Wanting something to eat during a midnight Netflix session. Realising at 5pm that there are no vegetables for dinner.

These were not new problems. Urban Indians had always run out of things unexpectedly. But before COVID, the solution was simple: send someone to the kirana store, which was a 5-minute walk away and open until 10pm. COVID removed that option — and in doing so, made the situation suddenly visible and acutely painful.

When the lockdowns began to ease in mid-2020, a small number of entrepreneurs were already thinking: the kirana store will come back. The weekly shopping trip will return. But something has shifted — people now know that 10-minute delivery of immediate needs is a real want. The question is: can you build a business around it?

3 The Founders: Two Students, and One Failure Worth Having

Aadit Palicha and Kaivalya Vohra were 19 years old when they founded Zepto in 2021. This fact is worth sitting with for a moment: they were younger than most of the students reading this case. They had not yet completed a single year of university. They had no professional experience in retail, logistics, or consumer technology. What they had was pattern recognition — the ability to look at a market and see not what it was, but what it could be.

Both had been admitted to Stanford University, one of the most selective universities in the world. When COVID hit and Stanford switched to remote learning, they made an unusual choice: instead of studying remotely from comfortable homes, they returned to India — specifically to Mumbai — and began thinking about problems to solve.

Aadit had already run one startup: KiranaKart, an attempt to digitise kirana stores and provide on-demand delivery from local shops. The idea was logical: kirana stores are everywhere, they stock what people need, and all they're missing is a digital ordering interface and a delivery layer. Connect customers to the nearest kirana store via an app, and you have faster grocery delivery without the capital investment of building your own warehouses.

KiranaKart didn't work at scale, and the reason it didn't work taught Aadit something crucial: the fundamental constraint on fast, reliable grocery delivery was not the delivery partner's speed — it was the information problem inside the kirana store. Kirana stores operated with no formal inventory management. An item might show as available in the app but actually be sold out. The store owner, managing hundreds of SKUs mentally, would sometimes say 'out of stock' mid-order. The promised 30-minute delivery regularly extended to 90 minutes as the delivery partner scrambled to find alternatives. The customer experience was unpredictable — and unpredictability is fatal for a delivery business. If you promise 30 minutes and sometimes deliver in 20 and sometimes in 75, customers stop trusting you.

> *The lesson Aadit extracted from KiranaKart's failure: you cannot guarantee fast, reliable delivery unless you control the inventory. To promise a customer that their order will arrive in 10 minutes, you need to know with certainty that every item in their order is in stock, in the right location, at this exact moment.*

This insight — control the inventory, control the delivery — was the seed of Zepto. Instead of connecting customers to existing kirana stores, what if you built a small, dedicated warehouse positioned specifically to serve a tight geographical radius? No customers walking in. No browsing. No wide aisles. No 50,000 SKUs. Just 2,000–3,000 carefully chosen items, managed with precision, positioned within 1.5 kilometres of the densest residential clusters in a city.

In early 2021, Aadit and Kaivalya applied to Y Combinator — the Silicon Valley startup accelerator that has backed Airbnb, Stripe, Dropbox, and hundreds of other transformative companies. Their application described the situation with precision: urban Indians in dense cities have dozens of small, time-sensitive needs that no existing business can reliably serve. Their solution: a network of micro-warehouses (dark stores) guaranteeing 10-minute delivery of the most-needed everyday items.

Y Combinator accepted them. They joined the Summer 2021 batch. Within nine months of that acceptance, they had raised a $100 million Series B funding round at a valuation of $900 million. They were 20 years old. The speed of their fundraising — the fastest from YC acceptance to $100 million in Indian startup history at the time — reflected not founder hype, but investor conviction that they had found something real, large, and underserved.

4 Three Ordinary Evenings

To understand why Zepto became a billion-dollar business, you need to be precise about who its customer is and when they show up. The obvious description — 'grocery delivery' — is not precise enough. BigBasket delivers groceries. Kirana stores have always sold groceries.

The Zepto customer is not the person doing a planned weekly grocery shop on a Sunday morning. That person has time, makes a list, and is perfectly well-served by BigBasket or a trip to D-Mart. The Zepto customer is in one of these situations:

- **It is 9pm and they are mid-cooking**, and they realise they have no tomatoes. The sabzi is already on the flame. The alternatives: stop cooking and go to the store (30–45 minutes, dinner delayed by an hour), ask a neighbour (awkward, unreliable), order on BigBasket (next delivery slot: tomorrow morning). Or: open Zepto, tomatoes arrive in 9 minutes, dinner is saved.
- **It is 11:30pm and their child is asking for milk.** The fridge is empty. The kirana store downstairs closed at 10. BigBasket's next slot is tomorrow afternoon. Or: open Zepto.
- **It is Friday evening. Guests are arriving in 45 minutes.** They've forgotten to buy paneer and coriander. The options without Zepto involve either a rushed trip that may not make it back in time, or apologising to guests. With Zepto: the shopping is done before the guests ring the doorbell.

Notice what all three evenings have in common, and hold on to it — we will come back to it in class.

5 The Solution: Dark Stores

The phrase '10-minute delivery' sounds simple. The operational logic underneath it is not.

A traditional grocery store tries to serve everyone. It stocks 30,000–50,000 different products (called SKUs — Stock Keeping Units) across fresh produce, packaged goods, household items, personal care, and more. This breadth requires large physical space (typically 5,000–15,000 square feet), a large staff, complex inventory systems, and significant overhead. Most importantly, it has to be located where customers will walk to it — in commercial areas, near transport hubs, or in malls.

Zepto inverted this model entirely. A Zepto 'dark store' is not a store at all. It is a small fulfilment centre with no public-facing retail presence. The lights are on for staff, not for shoppers — hence 'dark.' A Zepto dark store:

- **Occupies 1,500–2,500 square feet** — a large apartment-sized space, not a retail floor. It has no checkout counters, no shopping baskets, no display shelving for customers to browse. It is arranged entirely for picking speed: shelves organised by order frequency, with the highest-demand items closest to the packing station.
- **Stocks 2,000–3,000 SKUs** — deliberately limited to the items most commonly needed for immediate household use. Not 50,000 items. Not the long tail of specialty products. Only the things the data shows customers actually need when they're placing a 10-minute order: basic cooking staples, dairy, common fresh vegetables, snacks, beverages, basic personal care, and OTC medicines.
- **Is located inside dense residential areas** — positioned not for footfall or commercial visibility, but for proximity to apartment clusters. A dark store on the ground floor of a residential building or in a small commercial space within a housing colony can be within 1.5 kilometres of thousands of households.

The mathematics of the model: a delivery partner on a cycle or motorcycle can cover 1.5 kilometres in 3–4 minutes. Add 2–3 minutes for picking the order inside the dark store, and 1–2 minutes for handover at the customer's door, and you reliably arrive at 8–10 minutes total. The 10-minute promise is not marketing — it is engineering.

The intelligence in the model is the SKU selection. By limiting to 2,000–3,000 items rather than 50,000, Zepto achieves dramatically higher inventory turnover (items sell faster because there is no dead stock), lower wastage (especially on perishables), and faster picking times (staff don't have to search a vast warehouse for an item). These operational advantages are what make the unit economics work.

By 2022, Zepto had over 100 dark stores operational across Mumbai, Delhi, Bengaluru, Hyderabad, Chennai, and Pune. Each city is covered by a network of dark stores positioned to ensure that any customer in a targeted area is within the 1.5-kilometre radius. As the network grows, coverage expands — each new dark store extends the geography of the 10-minute promise.

6 What the Customer Actually Pays

A customer ordering tomatoes from Zepto pays: the price of the tomatoes (₹18–22 per 250g, roughly comparable to a kirana store or supermarket), plus a delivery fee of ₹10–25 on standard orders — or ₹0 for Zepto Pass subscribers, who pay a flat monthly fee (₹99–149) for free deliveries. In Zepto's early days (2021–22), delivery fees were ₹25–40 per order. Today, with subscription plans and competitive pressure from Blinkit and Swiggy Instamart, delivery charges have been compressed significantly. For a ₹400 standard order, the total additional cost over buying at a kirana store is roughly ₹20–35.

It is worth pricing the alternative honestly. Driving or walking to a store, finding parking (in a dense city, often 5–10 minutes by itself), locating the item, queuing at the checkout, and returning takes 30–45 minutes in a typical Indian city. If a working professional values their time at even ₹100 per hour — a very conservative estimate for someone in Mumbai or Bengaluru — that trip costs ₹50–75 in time alone, before anyone counts petrol.

And the money is only part of what that trip costs. The customer who is mid-cooking and out of tomatoes is not calmly calculating time-cost trade-offs. They are interrupted. Their plan for the evening is in jeopardy.

> **HOLD THIS THOUGHT**
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> Zepto charges roughly ₹25 to make that problem disappear. Ask yourself, before class: what would you have paid, in that moment, if they had asked for more? ₹50? ₹100? ₹200? At what number would you have put the phone down and walked to the shop instead? Write your number down — we will use it.

7 The Numbers: A Business, Not Just an Idea

Ideas are not businesses. What distinguishes a business from an idea is that real people pay real money — repeatedly — for what has been built. Here is Zepto's timeline and its economics, to ground the story in financial reality. Read the numbers carefully: Zepto is a fascinating case precisely because it illustrates the difference between a business that works at the individual transaction level and one that is profitable overall. These are not the same thing.

DATE	MILESTONE
January 2021	Founded by Aadit Palicha and Kaivalya Vohra, both aged 19.
April 2021	Accepted into Y Combinator's Summer 2021 batch.
August 2021	First dark store operational in Mumbai.
October 2021	$60 million Series A raised.
May 2022	$200 million raised at a $900 million valuation.
2023	Valuation reaches $1.4 billion.
2024	Processing approximately 700,000–800,000 orders per day across 10+ cities.

Per order, at a mature dark store (approximate, based on publicly available information): average order value ₹400–500. Delivery fee ₹10–25 on standard orders, ₹0 for Zepto Pass subscribers. Product gross margin approximately 15–20% of order value, or ₹60–100. Put together, each order leaves roughly ₹20–50 after the costs that order itself creates — the delivery rider, the packing, the variable cost of running the store for those ten minutes. That leftover amount is called the **contribution margin**: what a single order contributes towards paying for everything that exists whether or not that order happens.

So is Zepto profitable? Here is the honest answer, and it has two halves that appear to contradict each other.

At the level of a single, mature dark store doing 400+ orders per day, Zepto claims to be contribution-margin positive — meaning each order covers its own variable costs and leaves something over. But the company as a whole has been running at a loss. Zepto's FY2024 net losses were approximately ₹1,200–1,400 crore. The costs of running the entire business — technology teams, marketing, executive salaries, new dark store construction, city expansion, competitive discounting — are enormous and come on top of the per-order economics.

Zepto is currently burning cash at the company level, funded by investor capital, while betting that when it reaches sufficient scale, the aggregate of thousands of contribution-margin-positive orders will outrun its overhead. Investors are funding this bet because they believe the underlying per-order model is sound. Whether they are right is one of the most watched questions in Indian consumer technology.

> *Show someone a company losing ₹1,400 crore a year and they might say 'that's a terrible business.' Show them the economics of a single mature dark store — covering its own costs and contributing to overhead — and you see something different. Both descriptions are accurate. That is the uncomfortable part.*

8 The Question This Case Sets Up

Zepto does not manufacture groceries. It does not grow vegetables. It does not mill atta or refine sugar. Every item in a Zepto order is available, at roughly the same price, from a shop that is a five-minute walk away and has existed for decades.

And yet millions of people, several times a month, choose to pay more.

That is the puzzle we will open the class with. Not 'how did Zepto grow so fast' — that is a question about execution, and we will get to execution later in the course. The question is simpler and much harder: **what, precisely, did the customer buy?**

BEFORE YOU COME TO CLASS

HOW TO USE THIS PAGE

Spend fifteen minutes on these. Write your answers down — a line or two each is enough. You will not be collected or graded on them, but you will be asked for them in the room, and 'I didn't think about it' is a much worse position to be in than a wrong answer.

There are no model answers at the back of this document. That is deliberate.

1. **Kirana stores, D-Mart, BigBasket and Grofers were four very different businesses.** Name the one assumption about the customer that all four of them shared — and that Zepto did not.

2. **Zepto sells you a tomato that the shop downstairs also sells, at roughly the same price.** So what is the extra ₹25 buying? Answer in a full sentence, and try to make your answer specific enough that it would not also describe BigBasket.

3. **Take your own last 24 hours.** Name one moment where you needed something immediately and had to make do — you borrowed it, you skipped it, you went out for it, you asked someone. What did that workaround actually cost you? Be honest about the cost in time, money, and irritation.

4. **You wrote down a number in Section 6** — the price at which you would have refused to order and walked to the shop instead. What is your number, and what does the distance between ₹25 and your number tell you about Zepto?

5. **Aadit's first company, KiranaKart, failed.** Make the argument that KiranaKart failing was more valuable to Zepto than KiranaKart succeeding would have been. Then make the argument against it.

Come with your five answers and one genuine disagreement. If some part of this case struck you as wrong, exaggerated, or unfair to the kirana store, that is worth saying out loud — those are usually the most useful ten minutes of the class.